

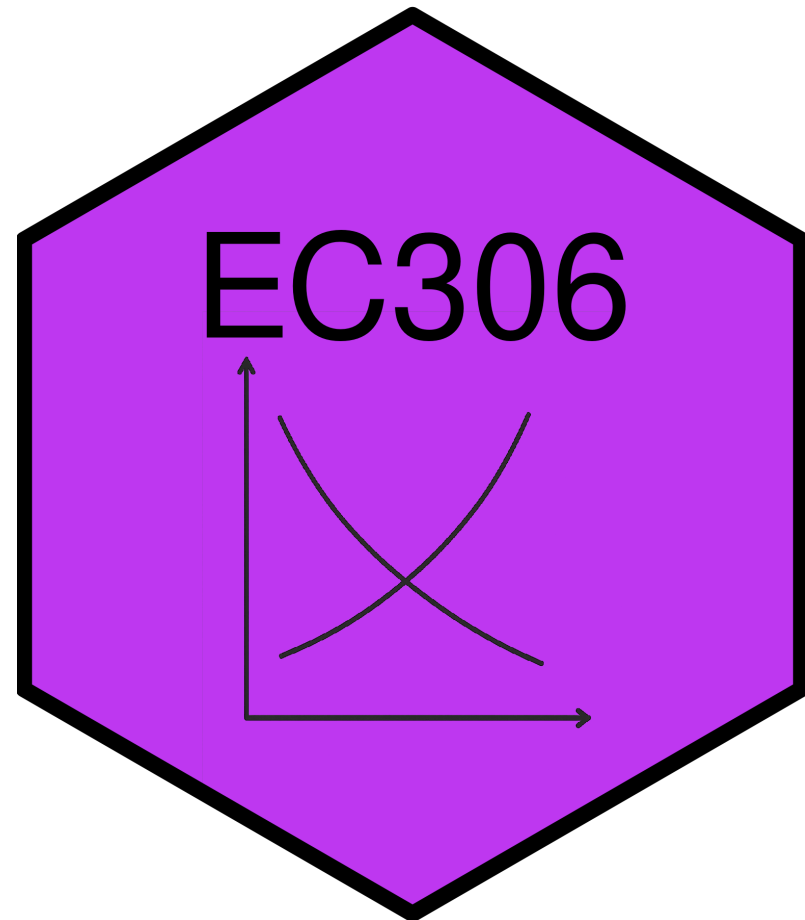
Chapter 3: Labour Supply — In-Class Questions

EC306- Wages and Employment

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BFGLSS Chapter 3 Problem 3

Consider two individuals with endowments of $T = 60$ hours (per week) of leisure time, nonlabour income of Y , and a wage of \$20 per hour. At this wage, assume that workers are constrained by their employers to work 40 hours per week or not at all.

- a. On a carefully labelled diagram, show the equilibrium for a worker for whom 40 hours is the optimum labour supply and a worker who would like to work 20 hours, but still prefers the 40-hour week to not working. Compare the marginal rates of substitution for these individuals at 40 hours per week.

BFGLSS Chapter 3 Problem 3

- b. The average part-time wage is \$18 per hour (with flexible hours), in contrast to the \$20 wage for full-time workers. Using the above model, provide an explanation for this difference in wage rates.